



2026:AHC:45144

Reserved on 13.02.2026

Delivered on 27.02.2026

HIGH COURT OF JUDICATURE AT ALLAHABAD

WRIT - C No. - 12786 of 2024

M/s K.G.N. Stone Crusher Mill and another

.....Petitioner(s)

Versus

State of U.P. and 3 others

.....Respondent(s)

Counsel for Petitioner(s)	: Abhisek Rai, Hanuman Prasad Dube, Vipul Dube
Counsel for Respondent(s)	: C.S.C., Gaurav Singh

Court No. - 36

HON'BLE ARUN KUMAR, J.

1. Heard Sri H. P. Dube, learned Senior Counsel, assisted by Sri Vipul Dube, learned counsel for the petitioner, learned Standing Counsel for the respondent nos.1 and 3 and Sri Gaurav Singh, learned counsel for the respondent nos. 2 and 4.

2. The present petition has been filed challenging the final assessment order dated 05.07.2023, passed by the respondent no.4, under Section 126 of the Electricity Act, 2003 (hereinafter referred to as “Act of 2003”) and the order of respondent no.3 dated 14.03.2024, dismissing the appeal of the petitioner filed under Section 127 of the Act of 2003.

3. The facts of the case are that petitioner no.1, M/s K.G.N. Stone Crusher Mill, is a proprietorship firm engaged in the business of production of stone grits and the petitioner no. 2 is its sole proprietor. For running crusher plant the petitioner applied for electricity connection

before respondent no.2, which was granted by the respondent no.4, having contracted load of 140 KW. The electricity supplied to the crusher plant of the petitioner is at the pressure of 11 KV. The crusher plant installed by the petitioner was successfully running till the production was halted under the order of National Green Tribunal. The U.P. Pollution Control Board by letter dated 22.06.2018, directed complete shut down of the crusher plant of the petitioner alongwith all other crusher plants in the district Chitrakoot, and also directed all other departments of the State to withdraw all facilities provided to the petitioner. The officials of the office of respondent no.4 visited the crusher plant of petitioner on 12.10.2019 and after making inspection ordered permanent disconnection of electricity supply. Subsequently, the National Green Tribunal modified its earlier order in view of the new revised guidelines issued by the Government of Uttar Pradesh for re-starting crusher plants established in district Chitrakoot. In view of the new guidelines issued on 14.01.2022, inspection of crusher plant of the petitioner was held by the U.P. Pollution Control Board on 29.09.2022, recommending grant of fresh permission to the petitioner to re-start his plant.

4. The officials of the office of respondent no.4 carried out an inspection of petitioner's crusher plant on 29.10.2022 for preparing an inspection report in view of the new guidelines issued by the State Government to re-start the shut crusher plant. In the inspection report dated 29.10.2022 a note was submitted which stated that, "the consumer has kept the gate of his premises closed and despite repeated request refused to open it. Two 11 KV wire is attached to the pole, however, jumper is not attached, as such, theft of electricity is not ruled out in future, keeping this in mind, both the 11 KV wire was removed".

5. A letter dated 10.11.2022 was issued by the U.P. Pollution Control Board stating that petitioner is qualifying the minimum required standards for running the crusher plant, pursuant to which, order dated 18.12.2022 was passed permitting the petitioner to re-start his crusher

plant for the period 17.12.2022 to 31.07.2027. The officials of the office of respondent no.4 again carried out inspection of crusher plant of the petitioner on 08.12.2022. The inspection report prepared contains a note that, "at the time of inspection the gate of the premises was found to be locked, 11KV wire was coming from the premises. However, from the rear side of the premises it was found that, no 11KV cable or wire is connected to the disputed premises".

6. On 17.12.2022, a fresh inspection was held under the supervision of Junior Engineer along with other officials. They entered the premises of the petitioner's crusher plant and prepared an inspection report, which contains a note that, "on a confidential information received from the head office, a joint team made an inspection of the said premises in which the generator was found in non-working condition. Near the crusher large amount of stone grits were lying. On the rear side of the premises 11KV line is energized on double pole. An 11KV cable on whose end three wires are attached was lying on the ground from which electricity theft can be done. The 11KV cable is connected to the crusher via transformer, therefore, the consumer by resorting to artificial means can connect his 11KV cable with energized line and abstract or consume electricity, which amounts to theft under proviso sub-section (1) of Section 135 of the Act of 2003. A videography of entire proceedings has also been done."

7. On the basis of report dated 17.12.2022, the respondent no.4 issued a provisional assessment bill to the petitioner on 22.12.2022, assessing usage of electricity for a sum of Rs.83,40,994/- with compounding fee of Rs.15,00,000/-. On the objections filed by the petitioner, the respondent no.4 passed final assessment order dated 05.07.2023. In final assessment, the amount assessed was reduced to Rs.62,34,761 and compounding fee was quantified as Rs.28,00,000/-. The petitioner challenged the final assessment dated 05.07.2023 in Writ-C No.26481 of 2023, which was disposed of on the ground of alternative remedy of appeal under Section 127 of the Act of 2003. The petitioner

challenged the final assessment in appeal before the respondent no.3, which has been dismissed by the order dated 14.03.2024. Thus aggrieved, the petitioner is before this Court.

8. It is contended by the learned Senior Counsel for the petitioner that under the provisions of Section 135 of the Act of 2003, whoever dishonestly taps, makes or causes to be made in connection with overhead, underground or under water lines or cables or service wires or service facilities of a licensee or supplier, as the case may be, so as to abstract or consume electricity shall be punishable with imprisonment. Therefore, unless and until electricity is abstracted or consumed or used, prosecution under Section 135 of the Act cannot be initiated against the petitioners. The reports prepared by the officials of respondent no.4 on 29.10.2022 and 08.12.2022 does not show that any electricity was being abstracted, consumed or used by the petitioner, except for the observation in the report dated 29.10.2022 that there exists possibility of theft in future. It is further contended that the inspection report dated 17.12.2022 refers possibility of theft through artificial means, however, neither the petitioner was found consuming electricity, nor there was any artificial means available in the premises of the petitioner, which could have been used for abstracting or consuming electricity running from the double pole behind the premises of the petitioner.

9. Learned Senior Counsel for the petitioner has further stated that in the absence of any positive act of abstraction or consumption of electricity by resorting to any artificial means as mentioned in Section 135 of the Act of 2003, the allegation of theft of electricity is not established, as such, no demand under Section 126 of the Act could have been made against the petitioner. It is further submitted that even if it is assumed that the petitioner could have abstracted or consumed electricity with help of artificial means, the assessment of electricity usage as quantified in the final assessment order dated 05.07.2023 for a period of 365 days is unsustainable, in view of the fact that in the report prepared by the officials of respondent no.4 on 08.12.2022, there is a clear

observation that no 11KV cable or wire is attached to the double pole energized line, therefore, possibility of theft, even if accepted, could have been only with effect from 09.12.2022.

10. Learned Senior Counsel for the petitioner further argues that in view of the order passed by the National Green Tribunal, the production and sale of stone grits was completely banned w.e.f. 22.06.2018. The stone grits found near the crusher plant was the stock lying with the petitioner when the crusher plant was abruptly stopped and the petitioner was directed to suspend his business. He further contends that the entire proceedings against the petitioner under Section 126 read with Section 135 of the Act of 2003 is on basis of presumption.

11. Learned Senior Counsel for the petitioner in support of his contentions has relied upon a Division Bench judgment of this Court in the case of **Ashok Kumar and others vs. State of U.P. and other reported in 2008 (6) ADJ 660**. Paragraph nos.56 to 60 of the aforesaid judgment are relied upon and are reproduced hereinafter:-

“56. The provisional assessment notices are in question in all these cases except writ petitions no. 21986 of 2008 and 22356 of 2008 and have also been challenged on the ground that neither they have been issued observing the procedure prescribed under Section 126 of the Act, 2007 read with Clause 6.8 of Code, 2005 nor the petitioners have been given adequate opportunity of defence.

57. Sub-section 1 of Section 126 provides that if on inspection, the assessing authority comes to the conclusion that the person concerned is indulged in unauthorized user of electricity, the assessing officer shall provisionally assess, to best of its judgment, electricity charges payable by that person or by any other person benefited by such use. Therefore, the conditions precedent to attract the power of assessment under Section 126 (1) is the conclusion drawn by the assessing officer that the person concerned has indulged in unauthorized use of electricity.

58. The term "unauthorized use of electricity" is defined in explanation (b) to Section 126 which includes usage of electricity (i) by any artificial means; or (b) by a means not authorised by the concerned person or authority or licensee; or (iii) through a tampered meter; or (iv) for the purpose other than for which the usage of electricity was authorised. Before issuing an assessment notice, therefore, the assessing officer must record its conclusion that the person concerned or any other person benefited has used electricity unauthorizedly in terms as defined in Explanation (b) of Section 126. The Act in respect to the stage of recording of conclusion by assessing officer regarding user of electricity by the person unauthorizedly does not provide specifically for any opportunity of hearing to the person concerned but also simultaneously

does not prohibit the same. The allegation of unauthorised use of electricity by a person concerned, as defined in Explanation (b) also covers within its ambit certain acts/omission which constitute an offence under Section 135 of the Act, 2003. Therefore, it is a serious matter and no person can be indicted and held guilty of user of electricity unauthorizedly unless he is given an opportunity of hearing before coming to such conclusion. Where a person is held guilty of unauthorised user of electricity, besides making him responsible for paying penalty in the shape of assessment under the Act, 2003 it also causes stigma on his conduct. He is declared an anti-social person indulging in a serious unsocial activity, by causing loss to the society and country in general and electricity undertaking in particular. Such condemnation of a person would not be permissible on the mere vagaries of the authority i.e. assessing officer unless such a person is given a fair opportunity of hearing i.e. putting his defence before the said authority. This Court is clearly of the view that before making provisional assessment, the assessing officer, in law, is bound to afford an opportunity to the consumer or person concerned of the allegations of means and ways in which he is said to have unauthorizedly used electricity, and, should be given an opportunity of placing his defence. Thereafter the assessing officer shall record its conclusion with respect to unauthorised use of electricity, to confer upon himself the jurisdiction to issue provisional assessment notice. The object of opportunity at the two stages namely, before arriving at the conclusion of unauthorised use of electricity and before making final assessment are distinct. In the former, it is the very issue whether the consumer is guilty of unauthorised use of electricity or not and in later case it is the quantum of amount which he is required to pay as a compensation and a fiscal preventive measure for committing such irregularity. The first one is the stage of finding the person guilty and later one is the stage of determining extent of monetary liability for compensating electrical undertaking qua the alleged unauthorised use of electricity by such persons. It is only when the proceedings are conducted in the above manner, the assessment made can be held valid and not otherwise.

59. It is true that judicial cognizance can/should be taken of the fact that theft of electricity has become a serious menace and a social evil not only in the State of U.P. but in the entire country. The electricity has become a necessity in the present day of society and development of society as well as nation cannot be conceived of without electricity. The availability of electricity however is much in deficiency. A huge amount of electricity, consumed by scrupulous persons is causing a serious loss to public revenue hampering and obstructing the development of electrical sector in particular as well as society and nation in general. Therefore, to check theft of electricity and/or unauthorized use of electricity, stern measures are required to be taken. The various provisions of Act, 2003 shows that the legislature is also concerned about it and has take several measures from time to time including making harsh provisions in the statute.

60. However, this by itself would not justify condemnation and indictment of a citizen or a consumer of electricity by holding him guilty of unauthorized use of electricity on the vagaries of the officers of electrical undertaking unless he is disclosed the manner in which he was found using electricity unauthorizedly on inspection by the officer concerned and given an opportunity to explain his case, if any. It is well settled law that no person can be indicted or condemned without giving a minimal opportunity of hearing. In the case of unauthorized use of electricity found by the assessing officer at any place or the premises etc.

or otherwise, the same has to be disclosed to the person concerned giving him an opportunity to put his defence. The principles of natural justice unless excluded by express provision of the Act or by necessary implication cannot be said to be inapplicable when a citizen or person is being indicted of a serious charge, i.e., unauthorized use of electricity, which in some of the cases an offence under Section 135 of Act, 2003.”

12. Learned counsel appearing for the respondent nos.2 and 4, on the other hand, has contended that even if the inspection team did not find the petitioner abstracting or consuming electricity at the time of inspection made on 17.12.2022 and theft can be presumed if any artificial means or means not authorized by the Board or licensee or supplier, as the case may be, exists for abstraction or consumption or usage of electricity by the consumer, until contrary is proved that any abstraction or consumption or usage of electricity has been dishonestly caused by such consumer, therefore, the action against the petitioner under Section 135 is justified in view of the proviso to sub-section (1) of Section 135 of the Act of 2003. It is further contended that in view of sub-section (5) of Section 126 where the period of unauthorized use of electricity cannot be ascertained, then assessment of usage can be made for a period of 12 months immediately preceding date of inspection. In view of the aforesaid, the action under Section 135 of the Act of 2003 and assessment made under Section 126 of the Act stands justified.

13. I have considered the submissions of the counsels for the parties and perused the record.

14. The relevant questions to be determined by this Court is (1) whether in view of the inspection report dated 17.12.2022, theft of electricity as contemplated under Section 135 of the Act of 2003 is made out against the petitioner and (2) whether the assessment of electricity usage, by the respondent no.4, is according to the provisions of Section 126 of the Act of 2003 read with clause 6.8 of the Electricity Supply Code, 2005.

15. The term “unauthorized use of electricity” as defined under Explanation (b) of Section 126 of the Act of 2003 means the usage of electricity (i) by artificial means; (ii) by means not authorized by

concerned person or authority or licensee; (iii) through a tempered meter; (iv) for the purpose other than for which the usage of electricity was authorized and; (v) for the premises or areas other than those for which the supply of electricity was authorized. In the case in hand, unauthorized use of electricity is relatable to usage of electricity by any artificial means.

16. The perusal of inspection reports dated 29.10.2022 and 08.12.2022, clearly show that there was no evidence to establish abstraction or consumption of electricity from the energized line on the double pole, going behind the back of the premises of the petitioner. In the inspection report prepared on 17.12.2022 by visiting the premises of the petitioner from inside, an 11KV cable is found lying on the floor. The conclusion of the inspection team is that with the help of artificial means unauthorized consumption is possible. There is nothing on record to show that any artificial means was available within the premises of the petitioner, therefore, the presumption of theft, available with the inspection team, under proviso of sub-section (1) of Section 135 of the Act of 2003, is misplaced.

17. In the absence of any concrete evidence of abstraction or consumption of unauthorized use of electricity, the action of respondent no.4, in presuming the act of theft, is based on no evidence as it would lead to a situation where any electric cable lying in a premises of a person can indict him for theft on the ground that if he obtains any artificial means, he could unauthorizedly use electricity, which could never be the intention of the Act of 2003. In the absence of any positive act of unauthorized use of electricity resorting to artificial means, which were found on the spot by the inspection team, no presumption can be drawn. In view of the aforesaid, the allegation of theft and unauthorized use of electricity under Section 135 of the Act of 2003 is not found to be established against the petitioner.

18. The Division Bench judgment of this Court in the case of **Ashok Kumar (supra)**, has observed that, a huge amount of electricity,

consumed by scrupulous persons is causing a serious loss to public revenue hampering and obstructing the development of electrical sector in particular as well as society and nation in general. However, this by itself would not justify condemnation and indictment of a citizen or a consumer of electricity by holding him guilty of unauthorized use of electricity on the vagaries of the officers of electrical undertaking unless he is disclosed the manner in which he was found using electricity unauthorizedly on inspection by the officer concerned and given an opportunity to explain his case, if any. In view of the aforesaid, in absence of any positive act of unauthorized use of electricity, resorting to artificial means, which were found on the spot by the inspection team, no presumption can be drawn that the petitioner was abstracting or consuming electricity unauthorizedly warranting any penal action.

19. In view of the fact that the crusher plant of the petitioner had been directed to be closed down abruptly, under the orders of National Green Tribunal and the permanent disconnection of electricity had been carried out by the respondent no.4, w.e.f. 12.10.2019, the presence of stone grits lying in the premises and near the crusher in itself cannot be the basis for presuming that the crusher plant was being used unauthorizedly by the petitioner.

20. The respondent no.3 while dismissing the appeal of the petitioner has failed to consider the grounds raised by the petitioner in his appeal. The observation of respondent no.3 that in the inspection report dated 17.12.2022, it is specifically stated that near the premises of the petitioner energized 11KV main line is passing by and the jumper is duly connected, is contrary to the report dated 17.12.2022, filed as Annexure-9 to the writ petition.

21. So far as the second issue with regard to assessment of electricity usage is concerned, in view of the fact that no unauthorized use of electricity is established against the petitioner, the assessment under Section 126 of the Act is also unsustainable in the eyes of law.

22. In view of the aforesaid discussions, the final assessment order dated 05.07.2023, passed by the respondent no.4, under Section 126 of the Electricity Act, 2003 and the order of respondent no.3, dated 14.03.2024, dismissing the appeal, cannot be sustained and are hereby set aside.

23. The writ petition stands allowed. No order as to costs.

(Arun Kumar,J.)

February 27, 2026
Ashok Kr.